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Zoetis, Inc. (ZTS)

Cowen & Co. Health Care Conference

CORPORATE PARTICIPANTS

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

MANAGEMENT DISCUSSION SECTION

Unverified Participant

Thank you. Good morning, everyone. So, we're here. This is for the Zoetis company presentation. With us today, we're very pleased to have Kristin Peck, who's Executive Vice President and President of U.S. Operations, Business Development and Strategy with Zoetis. Zoetis has been a global leader in animal health, as well as the leading investment. So, Zoetis shares were up 19% in 2018 and they were up 12% through March 4. We, at Cowen, rate Zoetis an outperform, driven what we believe are continuing compelling prospects in what is a fundamentally very attractive market.

So, Kristin, thank you for being with us.

QUESTION AND ANSWER SECTION

Q

And if we could just start a little bit with the numbers and certainly what the shares have done, Zoetis management has executed very brilliantly over the past years. Can you give us – tell us what have been some of the keys to the success and what has been some of the biggest surprises during this time?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Sure. I think one of the keys to our success is by far our interconnected capabilities. I think we talk a lot about it, but it's really the integration of our commercial direct sales force in 47 markets with R&D bringing those insights from the market to our R&D and continuing to really innovate. If you look at our performance from an innovation perspective, we've launched more new products, gotten more approvals than any other large animal health company.

And then, consistently manufacturing with high quality and reliability which as well in our industry has been more difficult, and I think it's our ability to have a very one Zoetis approach to doing this, because the needs are very different around the world for animals, different diseases, et cetera. So, I think it's really ability of those three groups to continuously partner incredibly well and deliver what our customers really want. We have colleagues who are excited to do their jobs every day. And when you're out there with your customers and we can provide innovation and value that customers can't get anywhere else. You see the performance that you've seen in the share price. But I think it's absolutely driven by the fundamentals of what we're delivering in the market.

Q

Okay. Great. And well, just speaking of some of the innovation and the R&D that you've had, why don't we start off now – I want to start off on the derm franchise ...

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Sure.

[indiscernible] (00:02:17)

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Can't think of a better place.

Q

... almost $600 million in sales between the two products which is – a three times, a four times a blockbuster for animal health. So, the success you've had over the past few years with that, can you tell us how in the United States, you see this both the APOQUEL and CYTOPOINT, developing over the next few years? What challenges are you facing? And what can Zoetis do to work in that environment?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Sure. We've been incredibly excited at what we've been able to achieve with our derm portfolio in the U.S. first with APOQUEL, then with CYTOPOINT. We have two phenomenal products both from a safety and efficacy perspective. We've penetrated the market in sense of number of clinics very effectively with APOQUEL. CYTOPOINT, which is a monoclonal antibody, we've done remarkably well. I think it says a lot about our business model. If you look at what we've accomplished to-date, this is a category that hardly existed to be honest with you, five years ago, by helping the veterinarian understand the importance and the size of the category, bringing innovation to the market.

And then, if you look at CYTOPOINT, really getting the average general practitioner comfortable with injecting monoclonal antibodies, I think has been a tremendous opportunity. I still think in the U.S., there's tremendous growth in this space. It's still a market where most average pet owner still doesn't know there is a product for them. So, we're really focused on the U.S. and continuing to grow the market overall. And we also believe there's still lifecycle innovation within those products and we can expand the derm portfolio and franchise to cats for example, still itchy cats is still a pretty big issue, we have to improve medicalization of cats.

And then, as you think about dermatology outside the U.S., we're expecting approval of APOQUEL in China this year. So, I think there's still a significant opportunity to do – we did in the U.S., in a number of ex-U.S. markets across the world. So, we're very excited of the continued growth of the dermatology franchise. We certainly expect we created a quite a large market. There will be competition at some point. We don't have any intelligence as to when that will be. But, we are expecting it and we are prepared. We still believe we can grow this franchise through any competition. We think we have world-class molecules. And certainly right now, when you think about atopic dermatitis or itchy dog, you're thinking APOQUEL and we think we continue to grow that.

Q

Well, you – Zoetis's has commented and said they have addressed approximately 60% of the market?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

We have 67% market share across our three products.

Q

So, do you think that 67% can grow to 87% or do you think the base of actual patients is what's getting bigger? Whereas ...

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

In the U.S., I think it's growing the base, I think we can certainly grow our share a little bit more. I mean, we're way more effective in steroids, et cetera, but I think as we think about it, I think growing the total market overall is probably one of the biggest – and certainly for APOQUEL and CYTOPOINT, we still have more that I think we can grow the share there as well. But I think, growing the market is one of our biggest opportunities and we're focused in the U.S. on direct-to-consumer advertising that's both branded and unbranded, really just driving awareness of the fact that there are products out there for itchy dog.

Q

And why does an owner or a veterinarian needs to prefer CYTOPOINT over APOQUEL?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

It's very specific to the animal itself. They have different product profiles. Certainly, for some, the compliance is a big issue, you'll stick with an injectable. Sometimes, one product does or doesn't work for a dog and so they'll try the other, but I think it really is very specific to the animal. They will have very good labels. They both have the same indications. So, it is very specific to the side effects of the profile of the animal and health of the animal.

Q

Well, also questions any time are welcome. So, before we move past derm, anything else in this area?

Q

You had mentioned limited knowledge or lack of full knowledge as being one of the reasons why the market isn't bigger. I assume this is at the patient level, not at the vet level.

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Correct. Yeah.

Q

So, what can be done at the vet level to facilitate greater communication of pet owners?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Well, we're focused first on more people coming to the vet with an itchy dog. We're very confident someone comes to a vet with an itchy dog, the veterinarian knows that APOQUEL and CYTOPOINT exists. So, it's really about making sure that people know that if they have an itchy dog that the opportunity to go to the vet exists and they'll really have something, because for decades, as most pet owners know, they would try a shampoo or maybe they try a steroids or maybe they try to change the diet. They really weren't great. And so, there's a lot of people who owned pets for many, many years, they just think there is really no solution for this. So, I think the vet does a very good job once the pet owner is in the clinic, but it's getting the pet owner to bring the pet into clinic to believe there actually is a treatment.

Q

Okay. Great. I think maybe now, we'll switch to one of the other large areas and companion animal and that's with the parasiticides. And just as a basis, what percentage of the U.S. flea and tick market is oral now?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

I think it's about 70% of the U.S. flea and tick is oral.

Q

Can it go higher?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Yes. I think innovation – I think what really changes this is innovation is reason to go see your vet versus go to big-box and buy something off the shelf that's a topical, et cetera. So, yes, I do think innovation can drive the number.

Q

And you have the triple which at least a lot of investors ask about and that's a common question.

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

We've never heard it.

Q

What am I talking about? When we look at the triple which you have filed, what would be the advantages to the owner of a triple? Why is someone going to want this product as opposed to I'll give one heartworm and I'll give an flea and tick?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

It's one less – first of all, it's less thing to worry about. I mean, I am a pet owner with two dogs, I've got two kids, and I've got a job. And if you can make my life simpler in any way, I embrace that. Some of them have different labels, this is 30, this is 60. I mean, there is also just everything can be given in one pill, one time. You don't have to make sure you order both. It's just really ease of use. And then, I also think with regards to and the best innovation.

So, I think what will move people is you could have taken two or three, but if one can do better than what your two or three you are taking, you're going to go with where the innovation and the best care for the pet. So, I'd say it's a combination of make my life easier and providing the best care, and I think we're very confident that the innovation that we'll deliver will be the best care for the pet.

Q

Why will the triple be better than just the two individual products now? What's added as a part in the triple? Is that something that makes the length of the durability, the efficacy, action?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

We don't have a label yet. So, I mean, certainly the specifics of that, I don't think we've become public with regards to the all the actives and how it'll work, but we don't have a label.

Q

But there is something where one plus one is equal three.

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Correct, yeah.

Q

Okay, okay. When – once the triple is on the market, do you expect the share to come equally from the oral flea and ticks and the oral heartworms?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.
A

I think it'll be – it will depend on what the – two things; what the specific label of Trio looks like and what the competitive set looks like. I think in different geographies around the world, you'll see a different share. I think to me, I'm really focused at Zoetis, and I think we as the team are growing the parasiticides franchise. And that's both Simparica, the triple, as well as looking at heartworm with ProHeart. We're looking at the overall portfolio and how we grow that.

In certain geographies where one – certain of these is more or less prevalent. There may be a different value proposition and you may position different products. So, our goal is to have the best products regardless of where you are in the disease prevalence you are facing, and obviously some of that how you're facing and obviously some of that how we position and which product will grow faster or slower, we'll have to do with the label we get, the geography you're in, and the competitive market [ph] in the sense (00:09:59) labels of any competitive – competitors that are in as well.

Q

I'm intrigued by this notion of one plus one equals to three with the Trio and I know you don't have a label yet, so you can't speak to specifics, but what are the range of possible reasons why that would be true?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.
A

Well, you could get an increase in the number of fleas and ticks that you could for example be active against. It could be in how fast, how long, it could be how easy, how palatable. I mean, there's a host of different ways. I mean, the nice thing about the pet care space versus people, incremental innovation that has value to somebody, they're willing to pay for and they'll switch for. And I think there's lots of different ways that that value could come.

Q

Okay.

Q

Anything else on flea and tick, heartworm? All right. I'll shift gears a little bit. We'll still stay with dogs and cats, maybe I'll move to pain. And Zoetis has been a leader in the pain area with RIMADYL for many years. And as you look forward and look to further that development, what are the hurdles and what's more difficult for developing pain products? Is it efficacy or is it safety? And it's same for dogs or cats?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.
A

I'll talk about a little bit about the difference in dogs and cats, but it's always safety and efficacy. They're both really, really important. We still see pain as a significantly underserved market within the pet care space ripe for innovation. It's clearly the focus areas as you've probably seen in our disclosures. We are focused on monoclonal antibodies. I think the signs of pain in a dog are sometimes more obvious than a cat, but not always. There are still opportunities to grow that market and bring innovation. There really aren't any great options right now in the feline space.

So, I think there are real innovative products that would make a big difference, but the medicalization of cats and understanding what pain in cats really looks like is an important area that we're really focusing and educating and you were mentioning you've a panel later and I'm sure you'll hear that as well. But, I think this is still a significant area of growth in the pet care and companion animal space for both the dogs and cats, where innovation will make a big difference.

Q

Sure. Go ahead.

Q

[Question Inaudible] (00:12:08-00:12:10).

Q

Sure.

Q

[Question Inaudible] (00:12:12-00:12:13).

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

No. I think, right now, we don't – I mean, I don't know that we'll be first to market or second to market or. But, I think to me, the key is, not a lot of gap. I mean, we still built a significant brand in Simparica coming a very, very distant third to market. So, I don't think being first is important. I think being close is, it does matter and having the best label. So, we're not focused on being first. We're focusing having a very strong label and being quick.

Q

[Question Inaudible] (00:12:39-00:12:45).

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

[ph] We see a (00:12:45) one to two cycle review with it, correct.

Q

Just to finish up on the pain, given the success of CYTOPOINT, do you anticipate that will make an eventual launch of a pain product that's a monoclonal that much faster or there are differences in the market?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Yeah. I mean, we've been very pleasantly surprised at the uptake in CYTOPOINT in the general practitioner. There's a lot of people when we launched, including us that convincing the average general practitioner that this was something that they could do confidently. [indiscernible] (00:13:17) will be in derms mostly and then it might a few. And I think, they really seen, they've built confidence in their ability to do it. I think that will really help us really grow the market much faster as we expand other monoclonal antibodies for other diseases. So, yes, we do.

Q

Okay. And now some pain. One of the other areas that always comes up when we talk about animal health and unmet needs is cancer. And it's not been – it's been a difficult challenging field. Is there any reason for us to be optimistic about anything or that you can see from your pipeline?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

It has been challenging, because it's a very smarll – I mean, it's not the largest of markets. We've certainly launched a product in that space. I think we see it as an opportunistic. There's a lot of small companies with innovation and we'll probably look at that more from a business development opportunistic approach. It's not a key focus of internal R&D for us. We do think, if with the right product, we'd be happy to acquire it or license it and et cetera, but it's not a key focus internally. It is still a challenge, but the market given its size and some with the complexity, we're more focused in other areas organically.

Q

Similar question, renal failure in cats, is Zoetis doing anything there?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

We are looking at the renal failure in cats. Yes, I think that is a significant market and we do believe we have some internal capabilities to be more successful in that space.

Q

Can you tell us the mechanism of such agents?

Q

No. Are there other therapeutic areas or related areas in companions such as vitamins, nutritionals? Would Zoetis be interested in expanding into that?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Yeah. We're focused on wherever you can add greater value and the continuum of care. So, whether you look at the continuum of care in livestock or pet care, we're really looking at predict, prevent, diagnose and treat and providing a holistic solution the same way on livestock. We are really focused on keeping the pet healthier. We want to be investing in, if we went to that space, should be differentiated products with clear research behind it. We're not in a, like – we're not looking to get on Amazon and enter that – we really want products that – again the vets are core part of it or really have research behind them, but that would clearly be a space, I think that's important as we think about the continuum of care.

Q

Okay. So, I'll shift now to your newest product offerings, which are diagnostics. You've now had Abaxis for seven-and-a-half months, if I've counted correctly. Can you just update us integration relative to your own expectations and what has surprised you, good or bad, as you've started to go through this process with a very different product line?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Sure. We're extremely excited about the acquisition of Abaxis. It closed, as many of you know, probably faster than we expected, which has been great, because it's given us an opportunity to learn and get much closer to the products. We are on track absolutely with regards to the integration. We have – we fully integrated on day one for almost all of our major functions. We just finished about a month-and-a-half, two months ago our national sales meeting in the U.S. combined with our full diagnostic team and our pet care team.

For the U.S., our focus is really having our pet care team to lead generation and then bringing the diagnostic specialists to really complete those sales and then expanding their technical team to do the installs and to training the customers. As many people know, Abaxis was probably underinvested in versus its largest competitor, both in commercial infrastructure, service, et cetera. So, our focus globally is really providing a superior customer experience and bringing the customer experience up to the Zoetis standard, and we think we have certainly the capabilities and capacity to do that.

We think with that, we cannot just expand the install base, but really drive greater consumable use, which I think Abaxis was really slow to do. We also think with our international footprint, we've been focusing on growing in about 12 to 14 ex-U.S. markets, hiring a diagnostic specialist field force to supplement our pet care field force as well as the technical specialists to do the installs, the trainings and the service. So, we're really excited at the opportunity ex-U.S. to really accelerate the growth in the diagnostics market. And that's – unlike in the U.S., that's a much more fragmented market where it can be much easier for us to put a [ph] total (00:17:29), but we believe in the U.S., we can continue to grow our share and grow the consumable use.

Q

Do you feel at this point that your product portfolio of diagnostics in the U.S. is at least sufficient or is that going to be an acceleration in R&D to perhaps bring the portfolio more current or looking ahead even?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

We're very excited of launching additional tests that we can put on some of the platforms that we have today. I think innovation is at the core of what we do. We're spending a tremendous amount in R&D. We were before, we had with either the SMB acquisition. So, we're also looking at some next-generation platforms as well. So, we continue to invest in R&D in those things, there's more we can add to the existing platforms we have, as well as look at incremental platforms as we go forward.

Q

Okay. Anything also on diagnostics? Please.

Q

How are the veterinarian operations adjusting to increasing the diagnostics and what are you having to do to get better [indiscernible] (00:18:30)?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Sure. I think one of the reasons diagnostics is so attractive to us at Zoetis was it's a core part of the practice that will never leave the practice and it's really important to providing the best care for the animal. And I think the ability for a vet, we're trying to really sell in a solution. So, we sell across the portfolio based on a customer journey. So, for example, a dog or cat is coming in for a wellness visit. So, let's talk about the wellness panel and diagnostics. You should be using the core vaccines for an animal of this age that they should be getting and the preventatives that they should be sent home with, and I can now package that as a bundle to someone to market it.

And I think the more the vet can understand about providing the best care and how it all integrates, they want to provide the best care, but really thinking through what does that holistically look like. And as most people know, testing begets testing. So, as long as vets have started to ensure that a wellness panel is in every well visit, they're going to figure out and diagnose diseases that they might not have thought to test for before, that will beget more testing. And so, you really is and you really can diagnose a disease earlier and treat that animal much better. So, I think it's getting that awareness and thinking holistically how would they position a wellness visit, what does that cost, how do they bundle that as they think about the different stresses they're facing. So, I do think diagnostics plays an important part and then improving the care of pets and helping them think about their own business model as well.

Q

[Question Inaudible] (00:19:55-00:20:10).

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Sure. I think the answer is always it varies. There's really some innovation. There are some very innovative practices they're working with that I think are in the forefront of customer experience and are providing a much more holistic and much more transparent pricing. I mean, I think what most people struggle with is, they don't know what to expect when they bring their pet to the vet and what is it going to cost and what is it going to include. And I think really innovative vet practices are already on the forefront of that and communicating that and therefore they're doing better and they build better trust.

I spend a great deal of my time actually out. I'm going to be out in two weeks to the AVMA and some of their top vets to help educate their profession and how they really improve their perspective on their own business model and how they can do that, that provide better care in that way. I think some of the large corporates are doing a very good job and they get that. I think some of the smaller practices, it's harder for them. And so, it's our responsibility as an issue to help them understand that, and how they can write their best care as well as improve their own business model. There's lots of new technologies that they can leverage that I'm not sure they're all leveraging.

Q

Okay. Couple quickly of generics. Talk a little bit about last year with you saw – I think Zoetis saw mostly the pressure from a generic CLAVAMOX. Can you tell us, is the erosion curve was shaping up as expected and was that similar to RIMADYL? And is there anything that we should be watching for generic [ph] wars (00:21:29) in 2019?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Sure. I think we see generics as a constant part of what we do. They're modeled and we saw the curve on CLAVAMOX no different than what we were expecting. We did launch CLAVAMOX CHEWABLE and we're moving completely to CLAVAMOX CHEWABLE in the U.S. Again, this is an innovation over having a pill in animal and put it in cheese versus just a liver flavored chew that is much easier and more palatable. So, we continue to look at lifecycle innovation to stop the erosion of our product, but it's all baked into the numbers we have and these were expected. There's nothing that's unexpected from what happened with RIMADYL and there's no new generic that I'm aware of in the pet care [indiscernible] (00:22:10).

Q

Okay. One other question we get is about percentage of sales from non-veterinary sites, retail box stores. Can you give us a sense of what that's like for Zoetis? And if there are particular areas that are faster growing such as flea and tick and where you see this going?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Sure. So, just taking a slight step back, if you look at what we sell, about 50%, 60% of what we sell is administered in a clinic and we'll never move out. That would be a vaccine, that would be an injectable, a surgical, a first dose, et cetera. So, really there's only 30% to 40% of our business that in theory could move out of the clinic. And so, we're really focused on what are those channels, what pet owners want, still a lot of that will remain there. I mean, it's much easier if you can just pick up some of your products there, but there's a whole generation of people that are used to monthly shipping of their human health medications or et cetera. So, I do think some of the market really will move to more online and home delivery. I do think that is a trend that will accelerate. It's really small today. I mean, what I would say to you, it's extremely small today.

From a Zoetis perspective, we sell at the same price. They're much smaller than anybody else. They don't get any price advantage. I mean, you have to get dramatically larger for there to be any price advantage on that channel. So, we want to do what the vet – there're many vets will work with VetSource or Vets First Choice, Covetrus. Some of them even work with Chewy. And whoever they want us to sell the product to, we'll sell the product. But, it's – to us, at Zoetis, it really doesn't make a difference. From a pricing perspective, we do believe that if you could find a way to increase compliance. In other words, today, if you look at, I think the category that has the biggest likelihood to go home delivery, online retail is flea and tick. And right now, the average, pet only really gets 6 to 7 months of flea and tick, although they should be on 12. It's not like the fleas don't come around the other 5 to 6 months.

We believe if they could improve compliance and therefore, we do partner with many of these players, such as VetSource or Vets First Choice or others to do compliance related programs to try to convince some of our pet owners to maintain every month for their pet – to their parasiticides. So, I do think that's an opportunity, but it's still a very, very slow market.

Q

We are doing well on time here. We're going to shift away from companion animal now and try to take a quick zoom through production and livestock.

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Great.

Q

So, we'll keep this going. And let's start with the biggest of the group and that's cattle. And do you think, are we at the beginning of a down cycle and these cattle and more importantly what could that mean for Zoetis? How should investors look at this?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Sure. I think beef right now in the U.S. is stable. I don't know that we're at the end of a down cycle. We're still expecting numbers of animals to probably slightly increase and then probably flatten out in 2020. Cattle, beef cattle is always a little bit difficult to understand the economics of, because the question is like who's making money and where is the money between the cow calf, the stocker, the feed lot and the packer. What's unique about the U.S. market is its capacity constrained at the packer level as you probably know. So, unless you add more packing capacity, there's only so many more animals at this point you could really add. So, we see beef as stable to be honest with you through the next few years subject to externalities such as weather or things like that that trade, well, trade definitely.

But, trade's probably a little bit more on the dairy, but on the beef side as well. So, externalities could really affect where we end up in the beef market, but right now, I would say we see it as stable. I think dairy is a little more uncertain, to be perfectly honest. The price of milk has still been low. So, you've seen a lot of dumping of milk as you read and obviously some culling of animals. I think really what we need is a little more trade certainty there. I think the U.S., Mexico, Canada trade agreement, I think we're very hopeful it was going to get done at the end of last year. It looks like it might – may not happen depending on what the democrats want. So, I do think that is preventing a lot of large dairies from making large investment decisions at this point until they can have more certainty around where trade is. So, I would say certainly weather and trade or any other externalities is probably what the answer to the cattle, beef, and dairy market looks like in the U.S.

But, I would also say, if you look outside the U.S., I mean, we always talk about the U.S. cattle market. I mean, livestock is doing very well outside the U.S. We continue to grow our livestock business at 4% to 6%. I know we'd like to be obsessed about the U.S. cattle market, but there are cattle outside the U.S. that are doing quite well.

Q

Swine?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Yep.

Q

That's one of the areas that Juan Ramón has said will outpace the market.

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Yeah.

Q

What's driving that?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Sure. I think it's a launch of a bunch of new vaccines last year that we're expecting to grow significantly in 2019 and 2020. For example, in the U.S., we launched Fostera Gold PCV-2/M. hyo. It's a 2a/2b strain. So, it's an incremental innovation, simpler one vaccine. So, I think that's the space where we launched the product last year. We've been in large-scale trials with most of the major U.S. producers. We're expecting them to – those trials to end, end of last year to the first half of this year. And with that data off, we're hoping to really accelerate the growth of that product. Certainly in the U.S. and PCV-2 has been launched outside the U.S. So, I think that's really incremental innovation driving market share.

Q

Any obligatory question on African swine? Any update or any impact on the U.S. business?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

Sure. We African swine fever, I think we've seen as a challenge certainly in China. To size that problem, China is about a $200 million market, about $100 million is livestock, probably the largest species there. I think you will see an impact in China, but probably not for Zoetis, because we do not believe that all of a sudden, the Chinese are going to stop eating pork. So, we think they'll probably import the pork from other markets and will be – whether that be from Brazil, the U.S., you name it. So, I think although China sales will go down, we're not really expecting the U.S.

To be honest with you, in the medium to long term, it could be a positive for our China market. It's going to force the industrialization of a lot of the backyard mom and pop farms in China. The reality is, large industrialized farms have much stronger bio security and their risks are a lot less than some of these spaces. So, I do think that will actually accelerate the growth of industrialization there.

We have not seen in the U.S. We've heard it's in the wild boar populations in Eastern Europe. We have heard some reports of Vietnam, but right now, we don't see any [ph] of this (00:28:33) the U.S.

Q

Okay. Quick on poultry. How much of the U.S. market is now antibiotic free?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

So, about 40% of the U.S. market is antibiotic free. About 20% to 25% of the market – the U.S. market is export, which will probably never go, and there's still conventional here in the U.S. as well. So, although the 40% may grow a little bit, we don't really think it's going to grow dramatically higher, it only will ever be more than say 50% in the next few years, but it's now at 40%. It has grown probably faster than many people expected, but we expect it to start leveling off over the next few years.

Q

And the products driving this in the poultry areas are?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

So, it's driving more movement to vaccines and ionophores, anti-coccidials that are non-antibiotic. So, for us that's Zoamix, Robenz, Deccox. We have the unique portfolio which is why you've seen U.S. poultry growth in the U.S. significantly ahead of the overall market. Whether you raised the birds conventionally or antibiotic free, we have the portfolio that you need across the whole portfolio. So, I think that's why, we've been positioned quite well in the U.S.

Q

Questions, as we're winding down here.

Q

May I ask a question which admittedly is not all that fair, but – so, Elanco will be here tomorrow. What questions do you think investors should be wondering about as it relates to the Elanco business?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

I think you know looking at the Zoetis story, understanding how they will continue to evolve, I mean, they have some large commitments around improvement in operating margins and what that looks like. We've been competing against Elanco from a Zoetis perspective for many, many years. So, we don't really see, from a Zoetis perspective, major changes in their portfolio, et cetera. There are some uniqueness about being an independent company that takes a little while to figure out. I mean, we look very strong today.

So, those of us who can thank you, there're some of them who've been with us along the journey. It's not always a straight line. So, I think understanding how they'll evolve that. But competitively for us, we haven't lost respect for the portfolio they have and competing against them and we don't really see that changing in any dramatic way.

Q

And last quick question. Is there one thing that you would tell investors that you think they maybe don't appreciate or should know about Zoetis?

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

A

I'm very grateful for the investors that we've had for a long time. I think the exciting story for us is just the ability to continue to innovate and drive revenue growth and to manage a really strong P&L. And I think our investors really get that that has been a consistent story for us overall and being able to deliver both top line and incremental operating leverage on the bottom line, and I think investors who have been with us have really seen them. I think that's why we get the valuation that we do is, we've earned it the hard way over the last few years.

Kristin C. Peck
Executive Vice President & President-US Operations, Zoetis, Inc.

Very good. Thank you very much.

Unverified Participant

Thank you so much.